

ORIGINAL

(S E R V E D)
(March 12, 2004)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D. C.

March 12, 2004

DOCKET NO. 03-07

**FSL INTERNATIONAL INC. AND HIU-LEUNG YEUNG
AND FULL SERVICE LOGISTICS INC. AND MEI FUNG TSANG
POSSIBLE VIOLATIONS OF SECTIONS 10(a)(1), 10(b)(2), 10(b)(11) AND
SECTIONS 19(a) AND (b) OF THE SHIPPING ACT OF 1984 AND 46 C.F.R. 502.515**

**SETTLEMENT APPROVED;
PROCEEDING DISCONTINUED**

The Respondents, FSL International Inc. and its principal owner and officer Hiu-Leung "John" Yeung, and Full Service Logistics Inc. and its principal owner and officer Mei Fung "Ten" Tsang (hereinafter "Respondents"), and the Federal Maritime Commission's Bureau of Enforcement ("BOE") have filed a Joint Motion to Approve the Proposed Settlement Agreement asking for a dismissal of the case on the basis of a Joint Settlement Agreement for which they seek approval.

The parties believe that the proposed settlement meets the Federal Maritime Commission's ("Commission") criteria for approval of agreements resolving administrative enforcement claims and, therefore, should be approved.

Introduction

By Order of Investigation dated June 26, 2003, the Commission commenced an investigation to determine whether:

1. FSL International Inc. and Full Service Logistics Inc. and their principals, John Yeung and Ten Tsang, violated section 10 (a)(1) of the Shipping Act of 1984, as amended, ("1984") by knowingly and willfully obtaining transportation for property at less than the rates or charges that otherwise would be applicable by the unjust or unfair device or means of unlawfully entering into service contracts;
2. FSL International Inc. and Full Service Logistics Inc., in their capacity as common carriers, violated section 10(b)(2) of the 1984 Act by charging, demanding, collecting or receiving less or different compensation for the transportation of property than the rates and charges shown in their NVOCC tariff;
3. FSL International Inc. and John Yeung provided ocean transportation intermediary services after revocation of the OTI license of FSL International Inc., in violation of section 19(a) and (b) of the 1984 Act and 46 C.F.R. Part 515; and
4. Full Service Logistics and Ten Tsang provided ocean transportation intermediary services to FSL International after revocation of the latter's OSI license, in violation of section (10)(b)(11) of the 1984 Act and 46 C.F.R. Part 515.

BOE asserts that at an evidentiary hearing, it would introduce evidence in support of the allegations set forth in the Order of Investigation. Specifically, BOE would demonstrate that FSL International Inc. obtained transportation for certain NVOCC cargoes through the device or means

of misdeclaration of weight/measurements in order to receive lower rates under the carrier's applicable rules on equipment substitution.

Furthermore, BOE would show that FSL International Inc. and Full Service Logistics Inc. issued NVOCC bills of lading for shipments for which they charged rates which differed substantially from those rates published in their respective electronic NVOCC tariffs; that it also appears that certain export shipments by Full Service Logistics Inc. were transported prior to the time when Full Service Logistics had an effective OTI license or tariff for its NVOCC services; and that certain export shipments by FSL International Inc. were transported subsequent to the time when the OTI license and tariff of FSL International had been revoked or cancelled.

Respondents aver that at the evidentiary hearing they would introduce evidence to disprove the allegations set forth in the Order of Investigation, and to provide information explaining, mitigating or showing extenuating circumstances with respect to such allegations.

Respondents and BOE believe that it is in the best interest of the parties and the shipping public to resolve the above-referenced proceeding rather than engage in further litigation. The settlement agreement that accompanied the joint motion is the result of negotiations between counsel for Respondents and BOE and reflects each party's view of the case and its fair resolution. Upon approval of the proposed settlement by the Administrative Law Judge and the Commission, the parties seek dismissal of Docket No. 03-07.

Authority for Settlement

The Administrative Procedure Act ("APA"), 5 U.S.C. Sec. 554(c)(1), requires agencies to give interested parties an opportunity, *inter alia*, to submit offers of settlement "when time, the

nature of the proceeding, and the public interest permit." As the legislative history of the APA makes clear, Congress intended this particular provision to be read broadly so as to encourage the use of settlements in proceedings such as the present one:

. . . even where formal hearing and decision procedures are available to parties, the agencies and the parties are authorized to undertake the informal settlement of cases in whole or in part before undertaking the more formal hearing procedure. Even courts through pretrial proceedings dispose of much of their business in that fashion. There is much more reason to do so in the administrative process, for informal procedures constitute the vast bulk of administrative adjudication

The statutory recognition of such informal methods should strengthen the administrative arm and serve to advise private parties that they may legitimately attempt to dispose of cases at least in part through conferences, agreements, or stipulations.¹

Courts have endorsed the use of the APA settlement provision "to eliminate the need for often costly and lengthy formal hearings in those cases where the parties are able to reach a result of their own which the appropriate agency finds compatible with the public interest."²

The Commission has recognized that the law strongly favors settlements for decades:

. . . the law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in contravention of some law or public policy . . . The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts and it is thus advantageous to judicial administration, and, in turn, to government as a whole.³

¹ Senate Committee on the Judiciary, Administrative Procedure Act, S. Doc. No. 248-79, at 24 (79th Cong., 2d Sess. 1946).

²*Pennsylvania Gas and Water v. Federal Power Commission*, 463 F.2d 1242, 1247 (D.C. Cir. 1972).

³*Old Ben Coal Company v. Sea-Land Service, Inc.*, 18 S.R.R. 1085 (1978). *Old Ben Coal Company v. Sea-Land Services, Inc.*, 18 S.R.R. 1085, 1092 (1978). See also *Del Monte Corp. v. Matson Navigation Co.*, 19 S.R.R. 1037, 1039 (1979); *Behring International, Inc. - Independent Ocean Freight Forwarder License No. 910*, 20 S.R.R. 1025, 1032-33 (Initial Decision, administratively final June 30, 1981).

Rule 91 of the Commission's Rules of Practice and Procedure, 46 C.F.R. Sec. 502.91, codifies the holding in *Old Ben Coal Company v. Sea-Land Service, Inc.*, *supra*, in language borrowed in part from the APA and 5 U.S.C. Sec. 554(c)(1). In accordance with Rule 91 and its policy favoring settlements, the Commission has frequently approved settlements of administrative and investigative proceedings.⁴

The Commission's regulations reflect its policy of encouraging settlements. 46 C.F.R. Sec. 502.91. They also recognize the designated role of BOE in formal proceedings and, necessarily, in the settlement of those proceedings. 46 C.F.R. Secs. 502.42 and 502.61. The regulations also require that settlement agreements in formal proceedings be submitted to the Presiding Judge for approval. 46 C.F.R. Sec. 502.603(a).

Criteria for Approval of Settlement

To discharge the duty imposed by 46 C.F.R. Sec. 502.603(a), the Presiding Judge must determine whether the proposed settlement satisfies the appropriate criteria for approval. Among the criteria to be considered in evaluating settlement offers is the Commission's enforcement policy, litigative probabilities and litigative and administrative costs.

⁴See also *Eastern Forwarding International, Inc. - Independent Ocean Freight Forwarding Application - Possible Violations, Section 44, Shipping Act, 1916*, ("Eastern"), 20 S.R.R. 283, 286 (Initial Decision; administratively final September 8, 1980); *Far Eastern Shipping Co. Possible Violations of Sections 16, Second Paragraph, 18(b)(3) and 18(c), Shipping Act, 1916* ("FESCO"), 21 S.R.R. 743, 764 (Initial Decision; administratively final, May 7, 1982); *Armada Great Lakes/East Africa Service, Ltd.; Great Lakes Transcaribbean Line, ("Armada")*, 23 S.R.R. 946, 949 (Initial Decision; administratively final, April 25, 1986); *Member Lines of the Transpacific Westbound Rate Agreement - Possible Violations of the Shipping Act of 1984, ("TWRA")*, 23 S.R.R. 1329, 1340 (Initial Decision; administratively final Oct. 9, 1986); *Royal Caribbean Cruises Ltd. Possible Violations of Certification Requirements ("Royal Caribbean")*, 26 S.R.R. 64 (Order Approving Settlement and Discontinuing Proceeding, Dec. 4, 1991).

In the initial decision of *Armada*, is a summary of the Commission's view of the relationship between the criteria for assessment of penalties and the criteria for approving settlements:

As seen, Section 13(c) of the Act and § 505.3 of the Commission's regulations, which implements both Section 13 of the Act and Section 32 of the 1916 Act, explicitly set forth criteria for assessment of penalties, and while they do not directly address the criteria for settlement of penalties, . . . the latter are subsumed by the former. This is manifest from the history of the settlement process at the Commission. . . .

The rules and regulations implementing Section 32(e) were promulgated and published by the Commission in a predecessor version of 46 CFR § 505, in 1979. Under those rules the "criteria for compromise, settlement or assessment" might "include but need not be limited to those which are set forth in 46 CFR Parts 101-105." . . .

Those standards, particularly, the standards enumerated in 46 CFR Sec. 103, were a part of the Commission's program for settlement and collection of civil penalties even before the authority to assess penalties was given to the Commission pursuant to Section 32(e). . . . [I]t was held that those standards provided criteria for both settlements and assessments. "They continue to provide valuable assistance to the Commission as an aid in determining the amount of a penalty in assessment proceedings and in determining whether to approve proposed settlements in assessment proceedings."⁵

The appropriate standards for approving proposed settlements in assessment proceedings are summarized in *FESCO*, as follows:

. . . settlement may be based upon a determination that the agency's "enforcement policy in terms of deference and securing compliance, both present and future, will be adequately served by acceptance of the sum to be agreed upon"; that "the amount accepted in compromise . . . may reflect an appropriate discount for the administrative and litigative costs of collection having regard for the time it will take to effect collection"; the value of settling claims on the basis of pragmatic litigative probabilities, *i.e.*, the ability to prove a case for the full amount claimed either because of legal issues involved or a bona fide dispute as to facts; and that penalties may be settled "for one or for more than one of the reasons authorized in this part."⁶

⁵*Armada*, *supra*, 23 S.R.R. at 956 (Citing *Eastern* and *Behring International*, *supra*). See *Marcella Shipping Co. Ltd.*, 23 S.R.R. 857, 866 (Initial Decision; administratively final Mar. 26, 1986).

⁶*FESCO*, *supra*, 21 S.R.R. 743 at 759.

The Commission has reaffirmed that potential cost and uncertainties of success are valid factors to be considered both in negotiation of settlement and in view of settlement agreement.⁷

In line with the Commission's analysis as enunciated in *FESCO, Eastern, Armada, Yangming*, and *Royal Caribbean, supra*, proposed settlements are to be evaluated on the basis of balancing agency enforcement policy of deterrence by respondents, the industry and the general public with the litigative probabilities, litigative and administrative costs and such other matters as justice may require. That balance clearly favors approval of this proposed settlement.

Litigation cost savings include costs for: discovery, witness preparation, document preparation, and a hearing, as well as a variety of other costs. In factually oriented proceedings, such as this, these expenses are often significant. The costs of litigation also include the administrative time and costs expended by the Commission's other bureaus, the Office of Administrative Law Judges, and the Commission itself.

With respect to the policy of enforcement, the BOE stresses both the importance of promoting compliance by all regulated entities with the Shipping Act of 1984 and Commission's regulations. Respondents support the Commission's objective and have agreed to take appropriate measures in order to eliminate the practices by respondents which are the basis for the alleged violations described earlier. Accordingly, the parties submit that the proposed settlement agreement will further the Commission's enforcement policy.

As noted above, there are bona fide disagreements between Respondents and BOE as to certain facts and legal issues pertaining to this matter. Although each party is confident it would

⁷*Investigation of Unfiled Agreements - Yangming Marine Transport, Evergreen Marine Corporation and Orient Overseas Container Line, Inc. (Yangming)*, 24 S.R.R. 910 (Order Adopting Initial Decision, March 30, 1988). See also *Royal Caribbean, supra*. 26 S.R.R. 64.

prevail, the outcome of any litigation is uncertain. In view of the litigative probabilities, the parties seek a settlement of this proceeding. Inasmuch as this proceeding could be complicated, time consuming, and costly, the proposed settlement would save all parties time and expense. Therefore, it is abundantly clear that the litigative probabilities and potential litigative and administrative costs of this proceeding favor approval of this proposed settlement agreement.

Conclusion

The proposed settlement agreement comprehensively addresses the issues relating to the above referenced proceeding and meets the Commission's well established criteria for approval of agreements settling administrative enforcement claims and, therefore, will be approved and Docket No. 03-07 will be discontinued in its entirety.

IT IS ORDERED:

The attached settlement agreement is approved and the proceeding is discontinued, as requested by the parties.

IT IS FURTHER ORDERED:

The investigation is discontinued without prejudice and without an award of costs or attorneys' fees.



Miriam A. Trudelle
Administrative Law Judge

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BEFORE THE
FEDERAL MARITIME COMMISSION

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SECRETARY
FEDERAL MARITIME COMMISSION

ORIGINAL

DOCKET NO. 03-07

FSL INTERNATIONAL INC. AND HIU-LEUNG YEUNG
AND
FULL SERVICE LOGISTICS INC. AND MEI FUNG TSANG

POSSIBLE VIOLATIONS OF SECTIONS 10(A)(1), 10(B)(2),
10 (B)(11) AND SECTIONS 19 (A) AND (B) OF THE
SHIPPING ACT OF 1984 AND 46 CFR 515

SETTLEMENT AGREEMENT

THIS SETTLEMENT AGREEMENT (the "Agreement") is entered into between:

- 1) the Bureau of Enforcement ("BOE"), and
- 2) the named Respondents in Docket No. 03-07, being FSL International Inc. and its principal owner and officer Hiu-Leung "John" Yeung, and Full Service Logistics Inc. and its principal owner and officer Mei Fung "Ten" Tsang;

Whereas, the Federal Maritime Commission ("Commission") has instituted a formal proceeding, Docket No. 03-07, against the undersigned Respondents FSL International Inc., Hiu-

Leung "John" Yeung, Full Service Logistics Inc. and Mei Fung "Ten" Tsang, to determine, *inter alia*, the following issues:

- (1) whether FSL International Inc. and Full Service Logistics Inc. and their principals, John Yeung and Mei Fung Tsang, violated section 10 (a)(1) of the 1984 Act by directly or indirectly obtaining transportation at less than the service contract rates and charges otherwise applicable;
- (2) whether FSL International Inc. and Full Service Logistics Inc., in the capacity as a common carrier, violated section 10 (b)(2) of the 1984 Act by charging, demanding, collecting or receiving less or different compensation for the transportation of property than the rates and charges shown in its NVOCC tariff;
- (3) whether FSL International Inc. and John Yeung provided ocean transportation intermediary services after revocation of the OTI license of FSL International, in violation of section 19 (a) and (b) of the 1984 Act and 46 C.F.R. Part 515;
- (4) whether Full Service Logistics and Mei Fung Tsang provided ocean transportation intermediary services to FSL International after revocation of the latter's OTI license, in violation of section 10 (b)(11) of the 1984 Act and 46 C.F.R. Part 515;

Whereas, section 13(c) of the Shipping Act of 1984, and Part 502 of the Commission's Regulations, 46 C.F.R. Part 502, authorize the Commission to enter compromise agreements and settlements in formal proceedings arising from alleged violations;

Whereas, the OTI licenses of Respondents have been revoked, and their respective NVOCC bonds and tariffs cancelled;

Whereas, Respondents have terminated the practices which are the basis of the alleged violations set forth herein, and have indicated their willingness to institute practices which will avoid and prevent further violations;

Whereas, Respondents do not admit that they violated any provisions of the Shipping Act of 1984, as amended;

Whereas, the Bureau of Enforcement and Respondents believe it is in the best interests of the parties and the shipping public to resolve the above referenced proceedings rather than engage in costly litigation, the outcome and timing of which is uncertain; and

NOW THEREFORE, in consideration of the premises herein, Respondents and the Bureau of Enforcement hereby agree upon the following terms:

1. On or before March 9, 2004, Respondents shall make a monetary payment to the escrow account of Respondents' attorney, in the total amount of \$120,000 (One Hundred Twenty Thousand Dollars) for the benefit of the Federal Maritime Commission. No later than March 10, 2004, Respondents shall provide written verification to the Commission that the total monetary payment of \$120,000 was placed in such escrow account.
2. Upon approval by the Commission of this Agreement, the \$120,000 shall be paid to the Commission within ten (10) business days.
3. For a period of three (3) years from June 26, 2003 (when this proceeding commenced), Respondent Hiu-Leung "John" Yeung agrees that he will not, directly or indirectly, engage in any business activities as an Ocean Transportation Intermediary ("OTI") (whether as an ocean freight forwarder or non-vessel-operating common carrier) in any trades regulated by the Commission. During such period, John Yeung shall not act as an officer, director, qualifying individual or employee of any OTI firm or entity in any trade regulated by the Commission, nor shall he

purchase or maintain stock or other ownership interest in any such OTI firm or entity, whether directly or indirectly.

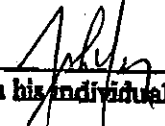
4. For a period of three (3) years from June 26, 2003 (when this proceeding commenced), Respondent Mei Fung "Ten" Tsang agrees that she will not, directly or indirectly, engage in any business activities as an Ocean Transportation Intermediary ("OTI") (whether as an ocean freight forwarder or non-vessel-operating common carrier) in any trades regulated by the Commission, except where Ten Tsang is acting as a *bona fide* employee of a licensed OTI. During such period, Ten Tsang shall not act as an officer, director or qualifying individual of any OTI firm or entity in any trade regulated by the Commission, nor shall she purchase or maintain stock or other ownership interest in any such OTI firm or entity, whether directly or indirectly.
5. Upon approval of this Agreement by the Commission, this instrument shall forever bar the commencement or institution by the Commission of any civil penalty assessment proceeding or other claim for recovery of civil penalties against Respondents for the alleged violations of the Shipping Act of 1984 and Commission regulations set forth in FMC Docket No. 03-07.
6. This Agreement is subject to approval by the Commission in accordance with 46 C.F.R. 502.603.

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7. Upon approval of this Agreement, the Commission shall discontinue FMC Docket No. 03-07.

FOR THE RESPONDENTS:

HUI LEUNG "JOHN" YEUNG


In his individual capacity

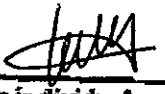
Date: 03-03-04

FSL International Inc.

By: HUI LEUNG "JOHN" YEUNG

Date: 03-03-04

MEI FUNG "TEN" TSANG


In her individual capacity

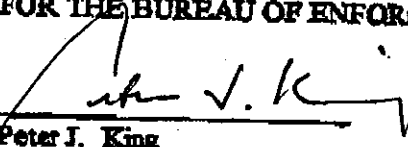
Date: 03-03-04

Full Service Logistics Inc.

By: MEI FUNG "TEN" TSANG

Date: 03-03-04

FOR THE BUREAU OF ENFORCEMENT


Peter J. King
Deputy Director

Date: 3-10-04